

Grasim Industries Ltd (GRASIM)

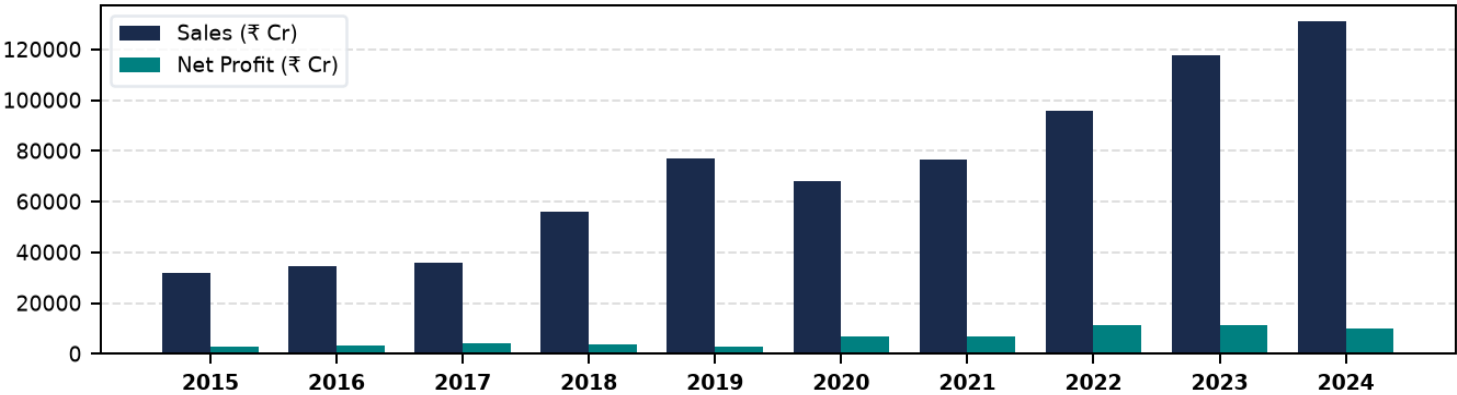
NIFTY 100 FINANCIAL
TEARSHEET

Broad Sector: Industrials | Sub-Sector: Diversified Industrials

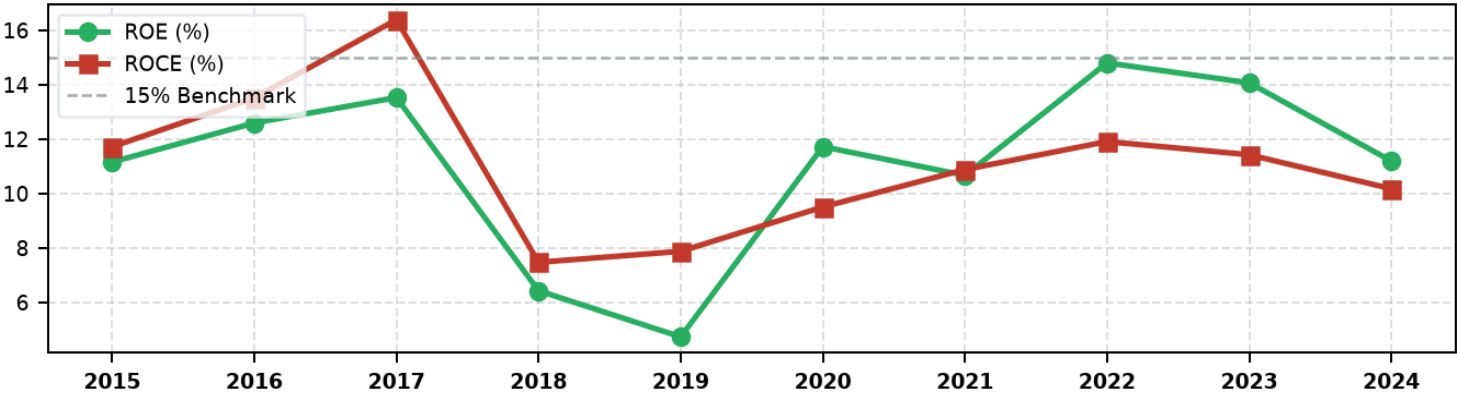
Latest FY 2024-03

MARKET CAP ■478,952 Cr	P/E RATIO 79.3x	RETURN ON EQUITY (ROE) 11.2%
5Y REVENUE CAGR 11.2%	DEBT TO EQUITY (D/E) 1.55	FREE CASH FLOW (FCF) ■-33,833 Cr

10-Year Revenue & Net Profit Trend (₹ Crore)

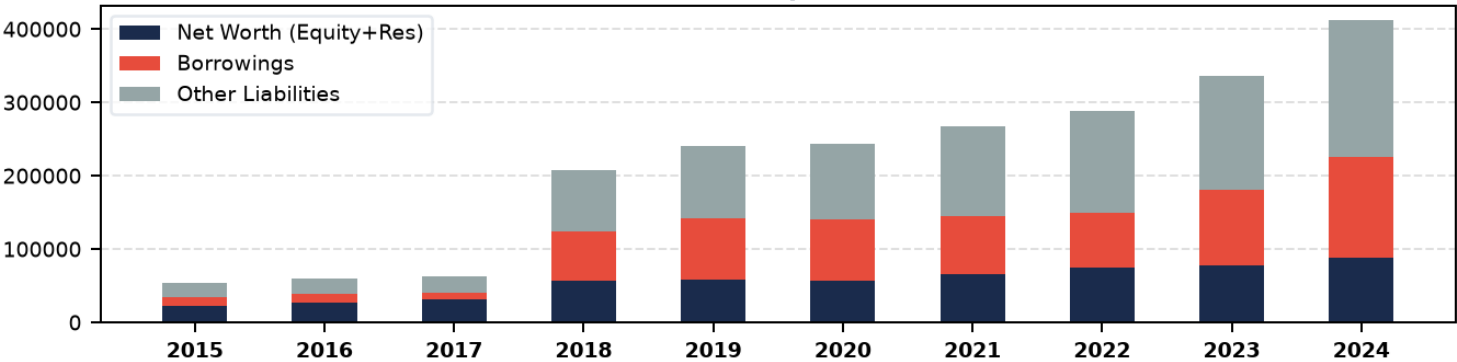


10-Year ROE & ROCE Efficiency Trend (%)

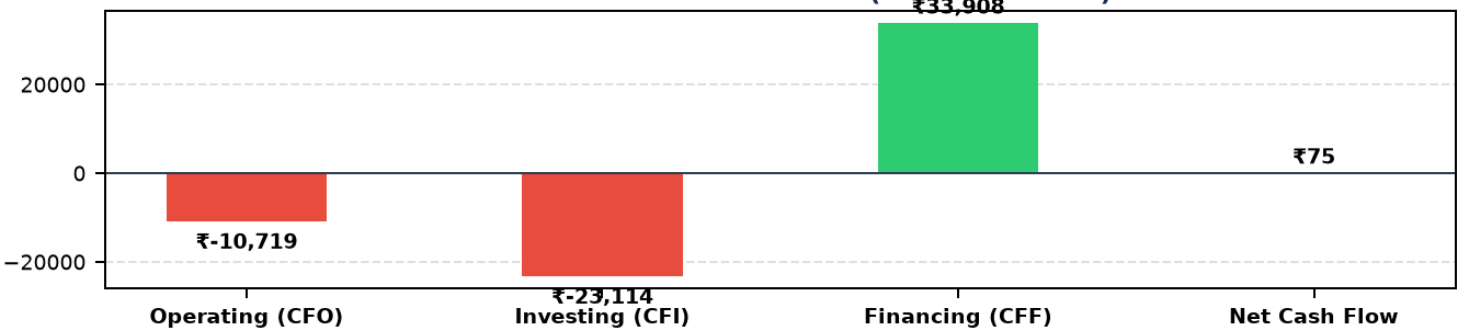


Grasim Industries Ltd (GRASIM) — Capital Structure & Qualitative Analysis

10-Year Balance Sheet Capital Structure (₹ Crore)



Latest Cash Flow Breakdown (FY2024 ₹ Crore)



KEY INVESTMENT STRENGTHS (PROS)

- ✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- ✓ Net profit compounding at above 20% over 5 years creates significant shareholder value
- ✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing
- ✓ Revenue growing slower than profits shows improving operating leverage and scale benefits

KEY INVESTMENT RISKS (CONS)

- ✗ Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- ✗ Earnings per share declining for 3 consecutive years reflects deteriorating profitability
- ✗ Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk

CAPITAL ALLOCATION PATTERN: **STARTUP/EARLY STAGE**